Activity 1: Renew a Critical Ingredient Supply Agreement

Course TGS-2023020567 · K1 · K2 · A1 · A3

Objective

Define commercial outcomes, BATNA, reservation point, ZOPA hypotheses and evidence needs before a supplier renewal.

Real-world use-case basis

Real-world use case: supplier renewals commonly combine price, volume, quality, continuity, forecasting and relationship interests. The scenario is a realistic composite rather than a claim about a named company.

Scenario

HarbourBean operates eight cafés. Its oat-milk agreement expires in six weeks. The incumbent supplier offers reliable quality but proposes a price increase and a minimum monthly volume. Operations wants continuity; Finance wants price discipline; Marketing wants sustainability evidence. A second supplier can cover only part of demand initially.

Primary source

https://asana.com/resources/negotiation-skills

Training assumptions

• Current price is SGD 3.20 per litre; the supplier opens at SGD 3.62.

• Forecast demand is 12,000 litres monthly with a plus/minus 15% range.

• The alternative supplier can provide 7,000 litres at SGD 3.45 after a four-week onboarding period.

• A stock-out is estimated to reduce contribution by SGD 4,800 per day.

Questions

1. What are the organisation's must-have, target, tradeable and relationship outcomes?

2. What is the best credible BATNA, and what evidence is needed to validate it?

3. Which issues could create value beyond unit price?

4. What opening package and reservation point should the sponsor approve?

Expected output

A two-page preparation brief approved by the procurement sponsor.

Acceptance test

The brief states an evidence-backed BATNA and reservation point, covers at least five issues, and separates targets from authority limits.